Adopting a Stakeholder Orientation

by Sophia

WHAT'S COVERED

In this lesson, you will begin a consideration of all the stakeholders in an organization. Specifically, this lesson will cover:

BEFORE YOU START

Remember that *stakeholders* are all the people affected by a business decision: owners, executives, employees, customers, investors, but also people in the community, competitors, even the environment. *Shareholders* (or *stockholders*) are the people who own stock in a corporation; that is, investors. There is an emphasis on maximizing shareholder returns in for-profit business, which even has a legal precedent, called *shareholder primacy*.

1. Stakeholder Relationships

WATCH

How do different groups of stakeholders figure into a business decision?

Many individuals and groups inside and outside a business have an interest in the way it brings products or services to market to turn a profit. These stakeholders include customers, clients, employees, shareholders, communities, the environment, the government, and the media (traditional and social), among others. All stakeholders should be considered essential to a business, but not all have equal priority. Different groups of stakeholders carry different weights with decision makers in companies and assert varying levels of interest and influence. As we examine their roles, consider how an organization benefits by working with its stakeholders and how it may benefit from encouraging stakeholders to work together to promote their mutual interests.

REFLECT

Think about your current job or another job you've had, particularly one within a large organization. Who were the most important stakeholders? For a service level job, you might be more focused on customers; for office jobs, you might focus on colleagues, particularly those whom you report to. But in yet other positions, such as those within a political campaign, you might immediately think of the person in charge of the entire organization, even if you never met them personally.

What are the roles of an organization's many stakeholders? We begin with the internal stakeholders. The **board of directors** is a group of people responsible for defining and evaluating the ongoing mission of a business. In a corporation, the board is made up of major shareholders; in other organizations, they may be appointed. The board broadly oversees decisions about the mission and direction of the business, the products or services offered, the markets in which the business will operate, and salary and benefits for the senior officers of the organization. The board also sets goals for income and profitability. Its most important function is to select and hire the **chief executive officer** (CEO) or president. The CEO is the highest-ranking person in the company and is held responsible for all managerial decisions. The CEO is usually the only employee who reports directly to the board of directors, and is charged with implementing the policies the board sets and consulting with them on significant issues pertaining to the company, such as a dramatic shift in products or services offered or discussions to acquire—or be acquired by—another firm.

Ethical decisions for CEOs aren't as simple as doing the right thing, but considering and weighing the stakeholders who will be affected by each decision.

If you don't focus on the stakeholder relationships that matter most, you'll run out of time, energy, resources, and end up damaging relationships and losing management power. According to Graham Kenny, *Harvard Business Review* (2014), there are five questions to identify key stakeholders. The answers to the first three questions should be "yes," and the answers to the last two questions should be "no."

1. Does the stakeholder have a fundamental impact on your organization's performance?
2. Can you clearly identify what you want from the stakeholder?
3. Is the relationship dynamic? That is, is it growing (or do you hope it will)?
4. Can you exist without or easily replace the stakeholder?
5. Has the stakeholder been identified through another relationship?

When you have your answers, consider creating stakeholder categories that are defined by common goals in order to rank them as part of your overall decision-making process.

HINT

While nonprofit organizations or nongovernmental organizations do not try to generate profits for shareholders, they are still businesses. Schools, churches, charity groups, and even youth groups must raise revenue to meet expenses, answer to a board of directors, and have a chief executive officer (be it a principal, senior pastor, or executive director). While there may be slight differences, such as an organization's commitment to the community being higher, the principles of business ethics apply to these organizations and to anyone who seeks a leadership position in one.

In turn, the CEO hires executives to lead initiatives and carry out procedures in the various functional areas of the business, such as finance, sales and marketing, public relations, manufacturing, quality control, human resources (sometimes called human capital), accounting, and legal compliance. These executives might have titles like chief operating officer (overseeing day-to-day operations), chief information officer (overseeing technological infrastructure), or chief financial officer (overseeing the budget).

Employees in these areas are internal stakeholders in the success of both their division and the larger corporation. Some interact with the outside environment in which the business operates and serve as contact points for external stakeholders, such as media and government, as well.

THINK ABOUT IT

What external stakeholders are most important to an organization? Think of one you know well. What special skills are needed to interact with those stakeholders?

In terms of external stakeholders for a business, customers certainly are an essential group. They need to be able to trust that products and services are backed by the integrity of the company. They also provide reviews, positive or negative, and referrals. Customers' perceptions of the business matter, too. Those who learn that a business is not treating employees fairly, for instance, may reconsider their loyalty or even boycott the business to try to influence change in the organization. Stakeholder relationships, good and bad, can have compound effects, particularly when social media can spread word of unethical behavior quickly and widely.

Key external stakeholders are usually those outside of the organization who most directly influence a business's bottom line and hold power over the business. Besides customers and clients, suppliers have a great deal of influence and command a great deal of attention from businesses of all sizes. Governments hold power through regulatory bodies, from federal agencies such as the Environmental Protection Agency to the local planning and zoning boards of the communities in which businesses exist. These latter groups often exercise influence over the physical spaces where businesses work and try to grow.

Businesses are responsible to their stakeholders. Every purchase of a product or a service carries with it a sort of promise. Buyers promise that their money or credit is good, and businesses promise a level of quality that will deliver what is advertised. The relationship can quickly get more complex, though. Stakeholders also may demand that the businesses they patronize give back to the local community or protect the global environment while developing their products or providing services. Employees may demand a certain level of remuneration for their work. Governments demand that companies comply with laws, and buyers in business-to-business exchanges (B2B, in business jargon) demand not only high-quality products and services but on-time delivery and responsive maintenance and service should something go wrong. Meeting core obligations to stakeholders is primarily about delivering good products and services, but it is also about communicating and preparing for potential problems, whether from within the company or from external circumstances like a natural disaster.

TERMS TO KNOW

Board of Directors
A group of people responsible for defining and evaluating the ongoing mission of a business.

Chief Executive Officer (CEO)
The highest-ranking member of an organization who is ultimately responsible for all managerial

decisions.

2. Ethical Responsibilities to Stakeholders

We have seen that stakeholders include the people and entities invested in and influential in the success of an organization. It is also true that stakeholders can have multiple, and simultaneous, roles. For example, an employee can also be a customer and a stockholder.

Any transaction between a stakeholder and a business organization may appear finite. For instance, after you purchase something from a store, you leave and go home. But your relationship with the store probably continues. You might want to repurchase the item or ask a question about a warranty. The store may have collected future marketing data about you and your purchases through its customer loyalty program or your use of a credit card.

> **IN CONTEXT**
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> Samsung, based in South Korea, is a large, multinational corporation that makes a variety of products, including household appliances such as washers and dryers. When Samsung's washers developed a problem with the spin cycle in 2017, the company warned customers that the machines could become unbalanced and tip over, and that children should be kept away. The problem persisted, however, and Samsung's responsibility and legal exposure increased. The eventual fix was to offer all owners of the particular washer model a full refund even if the customer did not have a complaint, and to offer free pick up of the machine as well. The recall covered almost three million washers, which ranged in price from $450 to $1500. By choosing to spend billions to rectify the problem, Samsung limited its legal exposure to potential lawsuits, settlement of which would likely have far exceeded the refunds it paid. This example demonstrates the weight of the implicit social contract between a company and its stakeholders, and the potential impact on the bottom line if that contract is broken.

When a product does not live up to its maker's claims for whatever reason, the manufacturer needs to correct the problem to retain or regain customers' trust. Without this trust, the interdependence between the company and its stakeholders can fail. By choosing to recognize and repay its customer stakeholders, Samsung acted at an **ethical maximum**, taking the strongest possible action to behave ethically in a given situation. An **ethical minimum**, or the least a company might do that complies with the law, would have been to offer the warning and nothing more. This may have been a defensible position in court, but the warning might not have reached all purchasers of the defective machine and many children could have been hurt.

Each case of a faulty product or poorly delivered service is different. If laws reach above a minimum standard, they can grow cumbersome and impede business growth. If businesses adhere only to laws and ethical minimums, however, they can develop poor reputations and people can be harmed. The ethically minimal course of action is not illegal or *necessarily* unethical, but the company choosing it will have failed to recognize the value of its customers.

The law only partly captures the ethical obligations firms owe their stakeholders. One way many companies go beyond the legally required minimum as employers is to offer lavish **amenities**—that is, resources made available to employees in addition to wages, salary, and other standard benefits. They include such perks as on-site exercise rooms and other services, company discounts, complimentary or subsidized snacks or meals, and the opportunity to buy stock in the company at a discounted price. Astute business leaders see the increased costs of amenities as an investment in retaining employees as long-term stakeholders. Stakeholder loyalty within and outside the firm is essential in sustaining any business venture, no matter how small or large.

THINK ABOUT IT

There are two opposing views about how businesses, and large publicly held corporations in particular, should approach ethics and social responsibility. One view holds that businesses should behave ethically within the marketplace but concern themselves *only* with serving shareholders and other investors. This view places economic considerations above all others. The other view is that stakeholders are not the means to the end (profit) but are ends in and of themselves as human beings. Thus, the social responsibility of business view is that being responsible to customers, employees, and a host of other stakeholders should be not only a corporate concern but central to a business's mission. In essence, this view places a premium on the careful consideration of stakeholders. Consider what approach you might take if you were the CEO of a multinational corporation.

Would your business be driven primarily by a particular social mission or simply by economics?

How do you think stakeholder relationships would influence your approach to business? Why?

TERMS TO KNOW

Ethical Maximum
The strongest possible action to behave ethically in a given situation.

Ethical Minimum
The least a company can do ethically in a situation; often corresponds to legal compliance.

Amenities
Resources made available to employees in addition to compensation in benefits; these include perks like snacks, an on-site gym, or opportunities to buy stock at a discounted price.

SUMMARY

In this lesson, you learned about ethical minimums, where a company may just comply with the law, vs. the ethical maximum, where ethical values are upheld, in addition to legal requirements, and both serve as a guide when we approach challenging topics like **stakeholder relationships** or a company's **ethical responsibilities** to those stakeholders. The question of who is a stakeholder may be complicated, and certainly involves stockholders, workers, and management, but does it also involve the community, the state, the country, or the planet? As we expand our awareness of our choices, actions, and their consequences, we may also want to consider stakeholders that are directly or indirectly impacted. Businesses form an important part of the community.

REFERENCES

Kenny, G. (2014, March 6). Five Questions to Identify Key Stakeholders. *Harvard Business Review*. hbr.org/2014/03/five-questions-to-identify-key-stakeholders

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